FRMO CORP.

A Delaware Corporation

Principal Executive Offices and Principal Place of Business:
1 North Lexington Avenue, Suite 12C
White Plains, NY 10601

914-632-6730
www.frmocorp.com
info@frmocorp.com
SIC Code: 6719 – Holding Company

Quarterly Report
For the Quarter Ended February 28, 2021
(the "Reporting Period")

As of February 28, 2021 [Current Reporting Period], the number of shares outstanding of our Common Stock was:
44,012,781

As of November 30, 2020 [Prior Reporting Period end Date], the number of shares outstanding of our Common Stock was:
44,012,781

As of May 31, 2020 [Most Recently Completed Fiscal Year End], the number of shares outstanding of our Common Stock was:
44,032,781

Indicate by check mark whether the company is a shell company (as defined in Rule 405 of the Securities Act of 1933 and Rule 12b-2 of the Exchange Act of 1934):

Yes: ☐ No: ☒

Indicate by check mark whether the company's shell status has changed since the previous reporting period:

Yes: ☐ No: ☒

Indicate by check mark whether a Change in Control of the company has occurred over this reporting period:

Yes: ☐ No: ☒

1) Name and address(es) of the issuer and its predecessors (if any)

FRMO Corp.

FRMO Corp. is an active Corporation incorporated in the state of Delaware in November 1993. The name of the Corporation was changed from FRM Nexus (a Delaware Corporation) to FRMO Corp. on November 29, 2000.

Describe any trading suspension orders issued by the SEC concerning the issuer or its predecessors since inception:

<u>None</u>

List any stock split, stock dividend, recapitalization, merger, acquisition, spin-off, or reorganization either currently anticipated or that occurred within the past 12 months:

None

The address(es) of the issuer's principal executive office:

1 North Lexington Avenue, Suite 12C
White Plains, NY 10601

The address(es) of the issuer's principal place of business:
Check box if principal executive office and principal place of business are the same address: ☒

Has the issuer or any of its predecessors been in bankruptcy, receivership, or any similar proceeding in the past five years?

Yes: ☐ No: ☒

If this issuer or any of its predecessors have been the subject of such proceedings, please provide additional details in the space below:

N/A

2) Security Information

Trading symbol:	FRMO	
Exact title and class of securities outstanding:	Common Stock	
CUSIP:	30262F205	
Par or stated value:	$0.001	
Total shares authorized:	90,000,000	as of date: February 28, 2021
Total shares outstanding:	44,012,781	as of date: February 28, 2021
Number of shares in the Public Float:	13,588,923	as of date: February 28, 2021
Total number of shareholders of record:	70	as of date: February 28, 2021

All additional class(es) of publicly traded securities (if any):

Trading symbol:	N/A	
Exact title and class of securities outstanding:	Preferred Stock	
CUSIP:	N/A	
Par or stated value:	$0.001	
Total shares authorized:	2,000,000	as of date: February 28, 2021
Total shares outstanding:	None	as of date: February 28, 2021

Transfer Agent

Name:
Broadridge Corporate Issuer Solutions, Inc.
1717 Arch Street, Suite 1300
Philadelphia, PA 19103

Phone: 800-733-1121
Email: Shareholder@Broadridge.com

Is the Transfer Agent registered under the Exchange Act? Yes: ☒ No: ☐

3) Issuance History

A. Changes to the Number of Outstanding Shares

Check this box to indicate there were no changes to the number of outstanding shares within the past two completed fiscal years and any subsequent periods: ☐

Number of Shares outstanding as of May 31, 2018	Opening Balance: Common: 43,973,781 Preferred: None								
Date of Transaction	**Transaction type (e.g. new issuance, cancellation, shares returned to treasury)**	**Number of Shares Issued (or cancelled)**	**Class of Securities**	**Value of shares issued ($/per share) at Issuance**	**Were the shares issued at a discount to market price at the time of issuance? (Yes/No)**	**Individual/ Entity Shares were issued to (entities must have individual with voting / investment control disclosed).**	**Reason for share issuance (e.g. for cash or debt conversion) OR Nature of Services Provided (if applicable)**	**Restricted or Unrestricted as of this filing?**	**Exemption or Registration Type?**
October 4, 2018	Option grant	Option grant to purchase 5,000 shares of common stock, exercise price of $7.90 per share	Common	N/A	N/A	Option Granted to Allan Kornfeld	Director Compensation	Options are unexercised. Will be restricted upon exercise.	Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act.
October 4, 2018	Option grant	Option grant to purchase 3,000 shares of common stock, exercise price of $7.90 per share	Common	N/A	N/A	Option Granted to Jay Hirschson	Director Compensation	Options are unexercised. Will be restricted upon exercise.	Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act.
January 10, 2019	Option Exercise	Option exercise of 3,000 shares of common stock at price of $2.75 per share (Grant date: 1/17/2012)	Common	Value of Shares at issuance $5.60 per share	Yes	Option Exercised by Allan Kornfeld	Option Exercise	Shares are restricted for at least 1 year from issue date.	Shares carry the customary Securities Act of 1933 legend.
August 19, 2019	Option Exercise	Option exercise of 50,000 shares of common stock at price of $1.99 per share (Grant date: 12/16/2009)	Common	Value of Shares at issuance $7.23 per share	Yes	Option Exercised by Hugh Ross	Option Exercise	Shares are restricted for at least 1 year from issue date.	Shares carry the customary Securities Act of 1933 legend.
August 30, 2019	Option Exercise	Option exercise of 3,000 shares of common stock at price of $1.95 per share (Grant date: 10/11/2012	Common	Value of Shares at issuance $7.20 per share	Yes	Option Exercised by Jay Hirschson	Option Exercise	Shares are restricted for at least 1 year from issue date.	Shares carry the customary Securities Act of 1933 legend.

October 10, 2019	Option Exercise	Option exercise of 3,000 shares of common stock at price of $1.95 per share (Grant date: 10/11/2012	Common	Value of Shares at issuance $6.10 per share	Yes	Option Exercised by Allan Kornfeld	Option Exercise	Shares are restricted for at least 1 year from issue date.	Shares carry the customary Securities Act of 1933 legend.
October 10, 2019	Option grant	Option grant to purchase 5,000 shares of common stock, exercise price of $6.10 per share	Common	N/A	N/A	Option Granted to Allan Kornfeld	Director Compensation	Options are unexercised. Will be restricted upon exercise.	Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act.
October 10, 2019	Option grant	Option grant to purchase 3,000 shares of common stock, exercise price of $6.10 per share	Common	N/A	N/A	Option Granted to Jay Hirschson	Director Compensation	Options are unexercised. Will be restricted upon exercise.	Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act.
October 8, 2020	Option grant	Option grant to purchase 5,000 shares of common stock, exercise price of $6.04 per share	Common	N/A	N/A	Option Granted to Allan Kornfeld	Director Compensation	Options are unexercised. Will be restricted upon exercise.	Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act.
October 8, 2020	Option grant	Option grant to purchase 3,000 shares of common stock, exercise price of $6.04 per share	Common	N/A	N/A	Option Granted to Jay Hirschson	Director Compensation	Options are unexercised. Will be restricted upon exercise.	Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act.
October 14, 2020	Shares repurchased, cancelled, and retired to authorized and unissued.	20,000	Common	Price paid was $4.88 per share, per stock purchase agreement under existing stock repurchase program.	No	No issuance; shares were cancelled and retired to authorized and unissued	N/A	Restriction does not apply to shares repurchased by Company	Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act.
Shares Outstanding on: February 28, 2021	Ending Balance: Common: 44,012,781 Preferred: None								

B. Debt Securities, Including Promissory and Convertible Notes

Check this box if there are no outstanding promissory, convertible notes or debt arrangements: ☒

4) Financial Statements

A. The following financial statements were prepared in accordance with:

☒ U.S. GAAP
☐ IFRS

B. The financial statements for this reporting period were prepared by (name of individual):

Name:	Victor Brodsky
Title:	Consultant
Relationship to Issuer:	Consultant

The financial statements listed in items 4C – 4H are appended to this Disclosure Statement.:

C. Review Report of Independent Registered Public Accounting Firm
D. Condensed Consolidated Balance Sheets
E. Condensed Consolidated Statements of Income (Loss) and Comprehensive Income (Loss)
F. Condensed Consolidated Statements of Stockholders' Equity
G. Condensed Consolidated Statements of Cash Flows
H. Notes to Condensed Consolidated Financial Statements

5) Issuer's Business, Products and Services

The purpose of this section is to provide a clear description of the issuer's current operations. In answering this item, please include the following:

A. Summarize the issuer's business operations (If the issuer does not have current operations, state "no operations")

The corporation is an intellectual capital firm identifying and managing investment strategies and business opportunities.

B. Please list any subsidiaries, parents, or affiliated companies.

Fromex Equity Corp., a Delaware corporation, is a wholly owned subsidiary of FRMO Corp.

As of February 28, 2021 and May 31, 2020, the Company held a 21.83% and 19.23% equity interest in Horizon Kinetics Hard Assets LLC ("HKHA"), a company formed by Horizon and certain officers, principal stockholders and directors of the Company. Due to the common control and ownership between HKHA and the Company's principal stockholders and directors, HKHA has been consolidated within the Company's financial statements. The noncontrolling interest of 78.17% and 80.77% in HKHA has been eliminated from results of operations for the periods ended February 28, 2021 and May 31, 2020. Total stockholders' equity includes, as a separate item, the amount attributable to the noncontrolling interests. The Company also holds a 4.95% interest in Horizon Kinetics LLC ("Horizon") and earns substantially all of its advisory fees from Horizon. The Company maintains its corporate office in White Plains, New York.

Investment Concentration

The following are the approximate amounts of the Company's investments in equity securities held directly and indirectly, through its various investments in managed funds, amounting to greater than 10% of stockholders' equity attributable to the Company ("Equity"). None of the Company's other direct or indirect investments were greater than 10% of Equity as of February 28, 2021 and May 31, 2020.

	As of February 28, 2021		As of May 31, 2020	
Investment	Amount	Percent of Equity	Amount	Percent of Equity
	(unaudited)			
Investment A	$ 61,635,000	37.7%	$ 28,247,000	24.6%
Investment B	$ 36,128,000	22.1%	-NA-	

C. Describe the issuers' principal products or services: Holding Company

6) Issuer's Facilities

Company leases fully furnished office space from Horizon Kinetics LLC at 1 North Lexington Avenue, Suite 12C, White Plains, New York 10601. The lease term is one year renewable for consecutive one year periods until terminated.

Company owns two (2) warehouses, approximately 30,000 square feet each, situated on 3.56 acres of land located in North Carolina. The buildings are subject to a first mortgage with a principal balance of $765,785 as of February 28, 2021.

7) Company Insiders (Officers, Directors, and Control Persons)

Name of Officer/Director and Control Person	Affiliation with Company (e.g. Officer/Director/Owner of more than 5%)	Residential Address (City / State Only)	Number of shares owned	Share type/class	Ownership Percentage of Class Outstanding
Murray Stahl	Chairman, CEO,	Chappaqua, NY	7,164,912	Common	16.3%
Steven Bregman	President, CFO, Director	Dobbs Ferry, NY	6,841,870	Common	15.5%
John C. Meditz	Owner of more than 5%	Weehawken, NJ	7,139,851	Common	16.2%
Thomas C. Ewing	Owner of more than 5%	Charlotte, NC	4,605,858	Common	10.5%
Peter Doyle	Vice President, Director	Scarsdale, NY	4,226,140	Common	9.6%
Lawrence J. Goldstein	Director, Controls more than 5% (incl. Santa Monica Partners, L.P. ownership)	Purchase, NY	1,861,774	Common	4.3%
Santa Monica Partners, L.P.	Controlled by Mr. Goldstein	Larchmont, NY	1,008,897	Common	2.3%

8) Legal/Disciplinary History

A. Please identify whether any of the persons or entities listed above have, <u>in the past 10 years</u>, been the subject of:

1. A conviction in a criminal proceeding or named as a defendant in a pending criminal proceeding (excluding traffic violations and other minor offenses);

   <u>None</u>

2. The entry of an order, judgment, or decree, not subsequently reversed, suspended or vacated, by a court of competent jurisdiction that permanently or temporarily enjoined, barred, suspended or otherwise limited such person's involvement in any type of business, securities, commodities, or banking activities;

   <u>None</u>

3. A finding or judgment by a court of competent jurisdiction (in a civil action), the Securities and Exchange Commission, the Commodity Futures Trading Commission, or a state securities regulator of a violation of federal or state securities or commodities law, which finding or judgment has not been reversed, suspended, or vacated; or

   <u>None</u>

4. The entry of an order by a self-regulatory organization that permanently or temporarily barred, suspended, or otherwise limited such person's involvement in any type of business or securities activities.

None

B. Describe briefly any material pending legal proceedings, other than ordinary routine litigation incidental to the business, to which the issuer or any of its subsidiaries is a party or of which any of their property is the subject. Include the name of the court or agency in which the proceedings are pending, the date instituted, the principal parties thereto, a description of the factual basis alleged to underlie the proceeding and the relief sought. Include similar information as to any such proceedings known to be contemplated by governmental authorities.

None

9) Third Party Providers

Please provide the name, address, telephone number and email address of each of the following outside providers:

Securities Counsel

Name:	Morris Simkin
Firm:	Law Office of Morris Simkin
Address 1:	60 East 42nd Street, Suite 1101
Address 2:	New York, NY 10017
Phone:	(212) 455-0476
Email:	msimkin@securitiesregslawyer.com

Accountant or Auditor

Name:	John Basile, Engagement Partner
Firm:	Baker Tilly US, LLP (formerly known as Baker Tilly Virchow Krause, LLP)
Address 1:	One Penn Plaza, Suite 3000
Address 2:	New York, NY 10119
Phone:	(212) 697-6900
Email:	John.Basile@bakertilly.com

Investor Relations

None

Other Service Providers

None

10) Issuer Certification

Principal Executive Officer:

I, Murray Stahl certify that:

1. I have reviewed this Quarterly Disclosure Statement of FRMO Corp.;

2. Based on my knowledge, this disclosure statement does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this disclosure statement; and

3. Based on my knowledge, the financial statements, and other financial information included or incorporated by reference in this disclosure statement, fairly present in all material respects the financial condition, results of operations and cash flows of the issuer as of, and for, the periods presented in this disclosure statement.

<u>April 14, 2021</u>

<u>/s/ Murray Stahl</u>

Principal Financial Officer:

I, Steven Bregman certify that:

1. I have reviewed this Quarterly Disclosure Statement of FRMO Corp.;

2. Based on my knowledge, this disclosure statement does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this disclosure statement; and

3. Based on my knowledge, the financial statements, and other financial information included or incorporated by reference in this disclosure statement, fairly present in all material respects the financial condition, results of operations and cash flows of the issuer as of, and for, the periods presented in this disclosure statement.

<u>April 14, 2021</u>

<u>/s/ Steven Bregman</u>

FRMO CORPORATION
AND SUBSIDIARIES

White Plains, New York

INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

Including Report of Independent Registered Public Accounting Firm

As of February 28, 2021 (Unaudited) and May 31, 2020 and for the Three Months and Nine Months Ended February 28/29, 2021 and 2020 (Unaudited)

Review Report of Independent Registered Public Accounting Firm	1
Interim Condensed Consolidated Financial Statements	
Condensed Consolidated Balance Sheets	2
Condensed Consolidated Statements of Income (Loss) and Comprehensive Income (Loss)	3
Condensed Consolidated Statements of Stockholders' Equity	4
Condensed Consolidated Statements of Cash Flows	5
Notes to Condensed Consolidated Financial Statements	6 - 17

Review Report of Independent Registered Public Accounting Firm

To the Board of Directors and Stockholders of
FRMO Corporation and Subsidiaries

We have reviewed the accompanying interim condensed consolidated balance sheet of FRMO Corporation and Subsidiaries (the Company) as of February 28, 2021, the related condensed consolidated statements of income (loss) and comprehensive income (loss) for the three and nine months ended February 28/29, 2021 and 2020, the condensed consolidated statement of stockholders' equity for the nine months ended February 28, 2021, and the condensed consolidated statements of cash flows for the nine months ended February 28/29, 2021 and 2020. These interim condensed consolidated financial statements are the responsibility of the Company's management.

We conducted our reviews in accordance with the standards of the Public Company Accounting Oversight Board (United States) and in accordance with auditing standards generally accepted in the United States of America. A review of interim financial information consists principally of applying analytical procedures and making inquiries of persons responsible for financial and accounting matters. It is substantially less in scope than an audit conducted in accordance with standards of the Public Company Accounting Oversight Board (United States) and in accordance with auditing standards generally accepted in the United States of America, the objective of which is the expression of an opinion regarding the interim condensed consolidated financial statements taken as a whole. Accordingly, we do not express such an opinion.

Based on our reviews, we are not aware of any material modifications that should be made to the accompanying interim condensed consolidated financial statements as of February 28, 2021 and for the three and nine months ended February 28/29, 2021 and 2020 referred to above for them to be in conformity with accounting principles generally accepted in the United States of America.

We have previously audited, in accordance with auditing standards of the Public Company Accounting Oversight Board (United States) and in accordance with auditing standards generally accepted in the United States of America, the consolidated balance sheet of FRMO Corporation and Subsidiaries as of May 31, 2020 (not presented herein) and, in our report dated August 14, 2020, we expressed an unqualified opinion on those consolidated financial statements. In our opinion, the information set forth in the accompanying condensed consolidated balance sheet as of May 31, 2020 is fairly stated, in all material respects, in relation to the consolidated financial statements from which it has been derived.

Baker Tilly US, LLP

New York, New York
April 14, 2021

INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

FRMO CORPORATION
AND SUBSIDIARIES

CONDENSED CONSOLIDATED BALANCE SHEETS

As of February 28, 2021 and May 31, 2020

ASSETS

	February 28, 2021 (Unaudited)	May 31, 2020
Current Assets		
Cash and cash equivalents	$ 36,737,629	$ 38,443,507
Accounts receivable (due from related parties)	1,227,206	622,007
Prepaid income taxes	-	1,771,218
Equity securities, at fair value (cost of $69,018,365 and $57,253,157 at February 28, 2021 and May 31, 2020, respectively)	134,969,724	63,835,705
Other current assets	167,357	142,357
Total Current Assets	173,101,916	104,814,794
Cryptocurrency mining assets, net of accumulated depreciation of $355,004 and $184,035 at February 28, 2021 and May 31, 2020, respectively	1,443,386	1,384,627
Investments in limited partnerships and other equity investments at fair value (cost of $35,778,495 and $32,086,514 at February 28, 2021 and May 31, 2020, respectively)	83,684,691	40,897,820
Investments in Securities Exchanges	5,061,025	5,061,025
Other investments	325,100	422,721
Investment in Horizon Kinetics LLC	12,965,410	10,876,157
Participation in Horizon Kinetics LLC Revenue Stream	10,200,000	10,200,000
Total Assets	$286,781,528	$173,657,144

LIABILITIES AND STOCKHOLDERS' EQUITY

	February 28, 2021 (Unaudited)	May 31, 2020
Current Liabilities		
Accounts payable and accrued expenses	$ 385,022	$ 157,420
Income taxes payable	3,473,708	-
Current portion of mortgage note payable	28,597	27,774
Securities sold, not yet purchased (proceeds of $10,667,491 and $5,394,275 at February 28, 2021 and May 31, 2020, respectively)	6,231,315	4,135,886
Total Current Liabilities	10,118,642	4,321,080
Deferred tax liability	18,040,892	6,700,817
Mortgage payable, net of current portion	737,188	751,027
Total Liabilities	28,896,722	11,772,924
Stockholders' Equity		
Stockholders' Equity Attributable to the Company	163,391,863	114,992,841
Noncontrolling interests	94,492,943	46,891,379
Total Stockholders' Equity	257,884,806	161,884,220
Total Liabilities and Stockholders' Equity	$286,781,528	$173,657,144

See report of independent registered public accounting firm and notes to interim condensed consolidated financial statements.

	Three Months Ended February 28/29,		Nine Months Ended February 28/29,	
	2021	2020	2021	2020
	(Unaudited)		(Unaudited)	
REVENUE				
Fees and other income	$ 1,409,390	$ 649,977	$ 2,369,150	$ 1,697,102
Dividends and interest income, net	1,144,715	247,864	1,313,542	845,918
Net realized (losses) gains from investments	(200,903)	(242,477)	(2,074,138)	821,948
Equity earnings from partnerships and limited liability companies	1,789,106	777,315	2,293,627	1,869,940
Unrealized gains (losses) from investments subject to fair value valuation	28,994,918	(249,237)	42,334,492	(2,461,697)
Equity earnings from investment in The Bermuda Stock Exchange	-	-	-	111,408
Total revenue before unrealized gains (losses) from equity securities	33,137,226	1,183,442	46,236,673	2,884,619
Unrealized gains (losses) from equity securities	56,344,204	(2,906,782)	62,022,019	(6,348,517)
Total Revenue	89,481,430	(1,723,340)	108,258,692	(3,463,898)
OPERATING EXPENSES				
General and administrative expenses	269,199	273,559	880,699	938,620
Depreciation	58,482	40,673	170,970	75,746
Total Expenses	327,681	314,232	1,051,669	1,014,366
Income (Loss) from Operations before Provision for Income Taxes	89,153,749	(2,037,572)	107,207,023	(4,478,264)
Provision for Income Taxes	12,799,396	1,203,951	16,891,569	3,267,446
Net Income (Loss) and Comprehensive Income (Loss)	76,354,353	(3,241,523)	90,315,454	(7,745,710)
Less net income (loss) and comprehensive income (loss) attributable to noncontrolling interests	42,017,417	1,290,484	44,124,911	(2,513,123)
Net Income (Loss) and Comprehensive Income (Loss) Attributable to the Company	$ 34,336,936	$ (4,532,007)	$ 46,190,543	$ (5,232,587)
NET INCOME (LOSS) PER COMMON SHARE				
Basic and diluted	$ 0.78	$ (0.10)	$ 1.05	$ (0.12)
WEIGHTED AVERAGE COMMON SHARES OUTSTANDING				
Basic	44,032,781	44,032,781	44,022,744	44,015,741
Diluted	44,055,150	44,032,781	44,038,347	44,015,741

See report of independent registered public accounting firm and notes to interim condensed consolidated financial statements.

FRMO CORPORATION
AND SUBSIDIARIES
CONDENSED CONSOLIDATED STATEMENTS OF STOCKHOLDERS' EQUITY
For the Nine Months Ended February 28/29, 2021 and 2020 (Unaudited)

	Redeemable Preferred Stock		Common Stock		Additional Paid-In Capital	Retained Earnings	Stockholders' Equity Attributable to the Company	Non-Controlling Interests	Total Stockholders' Equity
	Shares	Amount	Shares	Amount					
BALANCE - June 1, 2019	-	$ -	43,976,781	$ 43,976	$ 34,792,027	$ 91,548,254	126,384,257	$ 48,612,794	$ 174,997,051
Equity Compensation	-	-	-	-	23,040	-	23,040	-	23,040
Exercise of Stock Options	-	-	56,000	56	111,144	-	111,200	-	111,200
Non-cash Compensation	-	-	-	-	77,400	-	77,400	-	77,400
Capital Accounts of Consolidated Limited Liability Company ("LLC")	-	-	-	-	2,419,296	-	2,419,296	-	2,419,296
Net loss	-	-	-	-	-	(5,232,587)	(5,232,587)	(2,513,123)	(7,745,710)
Capital contributed to consolidated LLC from noncontrolling interests	-	-	-	-	-	-	-	5,549,179	5,549,179
BALANCE - February 29, 2020	-	$ -	44,032,781	$ 44,032	$ 37,422,907	$ 86,315,667	$ 123,782,606	$ 51,648,850	$ 175,431,456

	Redeemable Preferred Stock		Common Stock		Additional Paid-In Capital	Retained Earnings	Stockholders' Equity Attributable to the Company	Non-Controlling Interests	Total Stockholders' Equity
	Shares	Amount	Shares	Amount					
BALANCE - June 1, 2020	-	$ -	44,032,781	$ 44,032	$ 37,965,027	$ 76,983,782	114,992,841	$ 46,891,379	$ 161,884,220
Equity Compensation	-	-	-	-	21,440	-	21,440	-	21,440
Common Stock Repurchase	-	-	(20,000)	(20)	(97,580)		(97,600)		(97,600)
Non-cash Compensation	-	-	-	-	77,400	-	77,400	-	77,400
Capital Accounts of Consolidated LLC	-	-	-	-	2,207,239	-	2,207,239	-	2,207,239
Net income	-	-	-	-	-	46,190,543	46,190,543	44,124,911	90,315,454
Capital contributed to consolidated LLC from noncontrolling interests	-	-	-	-	-	-	-	3,476,653	3,476,653
BALANCE - February 28, 2021	-	$ -	44,012,781	$ 44,012	$ 40,173,526	$ 123,174,325	$ 163,391,863	$ 94,492,943	$ 257,884,806

See report of independent registered public accounting firm and notes to interim condensed consolidated financial statements.

FRMO CORPORATION
AND SUBSIDIARIES

CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS
For the Nine Months Ended February 28/29, 2021 and 2020

	February 28/29, 2021	February 28/29, 2020
	(Unaudited)	
CASH FLOWS FROM OPERATING ACTIVITIES		
Net income (loss)	$ 90,315,454	$ (7,745,710)
Adjustments to reconcile net income (loss) to net cash flows from operating activities		
Non-cash compensation	77,400	77,400
Equity compensation	21,440	23,040
Net realized losses (gains) from investments	2,074,138	(821,948)
Equity earnings from partnerships and limited liability companies	(2,293,627)	(1,869,940)
Unrealized (gains) losses from investments subject to fair value valuation	(42,334,492)	2,461,697
Unrealized (gains) losses from equity securities	(62,022,019)	6,348,517
Equity earnings from investments in Securities Exchanges	-	(111,408)
Non-cash fee revenue	(536,508)	(225,383)
Depreciation	170,970	75,746
Deferred income tax (benefit)	11,340,075	(640,954)
Changes in operating assets and liabilities:		
Accounts receivable	(605,199)	(30,509)
Prepaid income taxes	1,771,218	736,436
Other current assets	(25,000)	-
Accounts payable and accrued expenses	130,001	5,189
Income taxes payable	3,473,708	1,366,373
Net Cash Flows from (used in) Operating Activities	1,557,559	(351,454)
CASH FLOWS FROM INVESTING ACTIVITIES		
Proceeds from sale of investments	479,928	707,067
Purchases of investments	(8,305,973)	(5,347,994)
Proceeds from securities sold, not yet purchased	5,496,433	4,990,039
Purchases to cover securities previously sold	(7,789)	(1,426,247)
Other investments	(465,323)	(249,080)
Purchase of cryptocurrency mining assets	(229,729)	(611,328)
Net Cash Flows used in Investing Activities	(3,032,453)	(1,937,543)
CASH FLOWS FROM FINANCING ACTIVITIES		
Proceeds from exercise of stock options	-	111,200
Other financing activities	(230,984)	213,289
Net Cash Flows (used in) from Financing Activities	(230,984)	324,489
Net Change in Cash and Cash Equivalents	(1,705,878)	(1,964,508)
CASH AND CASH EQUIVALENTS, Beginning of Period	38,443,507	53,080,680
CASH AND CASH EQUIVALENTS, END OF PERIOD	$ 36,737,629	$ 51,116,172
SUPPLEMENTAL DISCLOSURES OF CASH FLOW INFORMATION		
Cash paid during the period for		
Income taxes	$ 306,485	$ 1,776,000
Interest	$ 140,987	$ 283,447
NONCASH INVESTING ACTIVITIES		
Cryptocurrency mining assets acquired through mortgage financing	$ -	$ 800,000
Investment acquired through the contribution of other investments	$ 5,837,522	$ 7,748,472
Unpaid common stock repurchase	$ 97,600	$ -

See report of independent registered public accounting firm and notes to interim condensed consolidated financial statements.

NOTE 1 - Nature of Business and Basis of Presentation

The interim condensed consolidated financial statements include the accounts of FRMO and its controlled subsidiaries (collectively referred to as the "Company"). As of February 28, 2021 and May 31, 2020, the Company held a 21.83% and 19.23% equity interest in Horizon Kinetics Hard Assets LLC ("HKHA"), a company formed by Horizon and certain officers, principal stockholders and directors of the Company. Due to the common control and ownership between HKHA and the Company's principal stockholders and directors, HKHA has been consolidated within the Company's financial statements. The noncontrolling interest of 78.17% and 80.77% in HKHA has been eliminated from results of operations for the periods ended February 28, 2021 and May 31, 2020. Total stockholders' equity includes, as a separate item, the amount attributable to the noncontrolling interests. The Company also holds a 4.95% interest in Horizon Kinetics LLC ("Horizon") and earns substantially all of its advisory fees from Horizon. The Company maintains its corporate office in White Plains, New York.

The accompanying unaudited condensed interim consolidated financial statements have been prepared in accordance with accounting principles generally accepted in the United States ("GAAP") for interim financial information. The principles for condensed interim financial information do not require the inclusion of all the information and footnotes required by generally accepted accounting principles for complete financial statements. Therefore, these condensed consolidated financial statements should be read in conjunction with the consolidated financial statements as of and for the year ended May 31, 2020 and notes thereto. The accompanying condensed consolidated financial statements have not been audited by an independent registered public accounting firm in accordance with standards of the Public Company Accounting Oversight Board (United States) but, in the opinion of management, such financial statements include all adjustments, consisting only of normal recurring adjustments, necessary for a fair statement of the Company's financial position and results of operations. The results of operations for the three months and nine months ended February 28, 2021 may not be indicative of the results that may be expected for the year ending May 31, 2021.

NOTE 2 - Summary of Significant Accounting Policies

Subsequent Events

The Company has evaluated all subsequent events from the date of the condensed consolidated balance sheets through April 14, 2021, which represents the date these interim condensed consolidated financial statements are available to be issued.

The recent outbreak of the coronavirus, also known as "COVID-19", has spread across the globe and is impacting worldwide economic activity. Conditions surrounding the coronavirus continue to rapidly evolve and government authorities have implemented emergency measures to mitigate the spread of the virus. The outbreak and the related mitigation measures have had and will continue to have a material impact on global economic conditions as well as on the Company's business activities. The extent to which COVID-19 may impact the Company's revenue will depend on future developments, such as the ultimate geographic spread of the disease, the duration of the outbreak, travel restrictions, business disruptions, and the effectiveness of actions taken in the United States and other countries to contain and treat the disease. These events are highly uncertain and, as such, the Company cannot determine their financial impact at this time. No adjustments have been made to the amounts reported in these consolidated financial statements as a result of this matter.

NOTE 3 - Adoption of New Accounting Pronouncements

The Company has determined that no recently issued accounting pronouncements will have a material impact on its interim condensed consolidated financial position, results of operations and cash flows, or do not apply to its operations.

NOTE 4 - Investments

Limited Partnerships and Limited Liability Companies and Equity Investments

The Company's investments in limited partnerships and limited liability companies and equity investments consist of the following as of February 28, 2021 and May 31, 2020:

	As of February 28, 2021 (Unaudited)		
	Cost or (Proceeds)	Unrealized Gains	Estimated Fair Value
Equity Securities	$ 69,018,365	$ 65,951,359	$134,969,724
Investments in limited partnerships and other equity securities:			
Limited partnerships			
Investment in South LaSalle Partners, LP	$ 5,718,057	$ 3,565,163	$ 9,283,220
Investments in managed funds			
Horizon Multi-Strategy Fund, LP	$ 13,938,636	$ 17,772,471	$ 31,711,107
CDK Partners, LP	1,345,851	4,231,380	5,577,231
Polestar Fund, LP	13,230,587	17,310,146	30,540,733
Multi-Disciplinary Fund, LP	538,941	215,485	754,426
Kinetics Institutional Partners, LP	7,059	17,889	24,948
Shepherd I, LP	12,218	16,996	29,214
Total Investments in Managed Funds	29,073,292	39,564,367	68,637,659
Investment in Winland Holdings Corporation	987,146	4,776,666	5,763,812
Total investments in limited partnerships and other equity securities	$ 35,778,495	$ 47,906,196	$ 83,684,691
Securities sold, not yet purchased (liability)	$(10,667,491)	$ 4,436,176	$ (6,231,315)

NOTE 4 - Investments (cont.)

	As of May 31, 2020		
	Cost or (Proceeds)	Unrealized Gains (Losses)	Estimated Fair Value
Equity Securities	$ 57,253,157	$ 6,582,548	$ 63,835,705
Investments in limited partnerships and other equity securities:			
Limited partnerships			
Investment in South LaSalle Partners, LP	$ 5,778,028	$ 324,245	$ 6,102,273
Investments in managed funds			
Horizon Multi-Strategy Fund, LP	$ 11,152,033	$ 2,863,025	$ 14,015,058
CDK Partners, LP	1,316,481	1,114,339	2,430,820
Polestar Fund, LP	12,811,294	4,568,797	17,380,091
Multi-Disciplinary Fund, LP	553,341	15,919	569,260
Kinetics Institutional Partners, LP	4,070	9,162	13,232
Shepherd I, LP	10,832	1,092	11,924
Total Investments in Managed Funds	25,848,051	8,572,334	34,420,385
Investment in Winland Holdings Corporation	460,435	(85,273)	375,162
Total investments in limited partnerships and other equity securities	$ 32,086,514	$ 8,811,306	$ 40,897,820
Securities sold, not yet purchased (liability)	$ (5,394,277)	$ 1,258,391	$ (4,135,886)

Investments in Unconsolidated Entities

Investment in Securities Exchanges

Investments in securities exchanges are carried at cost and consist of the following as of February 28, 2021 (unaudited) and May 31, 2020:

Miami International Holdings, Inc.	$ 4,322,905
OneChicago, LLC	246,000
CNSX Markets, Inc.	243,040
American Financial Exchange, LLC	249,080
Total securities exchanges	$ 5,061,025

The Company holds a 1.41% interest in CNSX Markets, Inc. and less than a 1.00% interest in other stock exchanges.

NOTE 4 - Investments (cont.)

Other Investments

The following are the Company's other investments as of February 28, 2021 and May 31, 2020:

	February 28, 2021 (Unaudited)	May 31, 2020
Cryptocurrency Mining Entities		
HK Cryptocurrency Mining, LLC	$ 31,664	$ 38,886
Horatio Mining, LLC	-	54,706
HK Cryptocurrency Mining II, LLC	129,524	128,919
HM Tech, LLC	87,851	123,949
Total cryptocurrency mining entities	249,039	346,460
Digital Currency Group, Inc.	76,261	76,261
Total other investments	$ 325,300	$ 422,721

Investments under the Equity Method of Accounting

The Company’s investment in Horizon is accounted for under the equity method of accounting. This investment has been reviewed for impairment with none being noted.

Investment Concentration

The following are the approximate amounts of the Company’s investments in equity securities held directly and indirectly, through its various investments in managed funds, amounting to greater than 10% of stockholders’ equity attributable to the Company (“Equity”). None of the Company’s other direct or indirect investments were greater than 10% of Equity as of February 28, 2021 and May 31, 2020.

	As of February 28, 2021		As of May 31, 2020	
Investment	Amount (unaudited)	Percent of Equity	Amount	Percent of Equity
Investment A	$ 61,635,000	37.7%	$ 28,247,000	24.6%
Investment B	$ 36,128,000	22.1%	-NA-	

NOTE 5 - Fair Value Measurements

The following tables present information about the Company's assets and liabilities that are measured at fair value on a recurring basis as of February 28, 2021 and May 31, 2020, and indicates the fair value hierarchy of the valuation techniques the Company utilized to determine such fair values.

	As of February 28, 2021 (Unaudited)				
		Fair Value Measurements at Reporting Date Using			
	Total	Investments Measured at Net Asset Value	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Assets (at fair value):					
Money Market Mutual Funds included in Cash and Cash Equivalents	$ 34,091,292	$ -	$ 34,091,292	$ -	$ -
Other Investments:					
Equity Securities	$ 134,969,724	$ -	$ 134,969,724	$ -	$ -
Investment in Limited Partnerships and other Equity Investments	83,684,691	77,920,879	-	5,763,812	-
Total Other Investments	$ 218,654,415	$ 77,920,879	$ 134,969,724	$ 5,763,812	$ -
Liabilities (at fair value):					
Common Stocks	$ 6,231,315	$ -	$ 6,231,315	$ -	$ -

NOTE 5 - Fair Value Measurements (cont.)

	As of May 31, 2020				
		Fair Value Measurements at Reporting Date Using			
	Total	Investments Measured at Net Asset Value	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Assets (at fair value):					
Money Market Mutual Funds included in Cash and Cash Equivalents	$ 35,694,672	$ -	$ 35,694,672	$ -	$ -
Other Investments:					
Equity Securities	$ 63,835,705	$ -	$ 63,835,705	$ -	$ -
Investment in Limited Partnerships and other Equity Investments	40,897,820	40,522,658	-	375,162	-
Total Other Investments	$ 104,733,525	$ 40,522,658	$ 63,835,705	$ 375,162	$ -
Liabilities (at fair value):					
Common Stocks	$ 4,135,886	$ -	$ 4,135,886	$ -	$ -

NOTE 6 - Income Taxes

The Company files a consolidated federal income tax return and a combined state/city tax return with its wholly-owned subsidiary, Fromex Equities Corp. HKHA, included in consolidated net income (loss) before taxes is a pass-through entity subject to K-1 reporting and is not included in the Company's consolidated income tax return. Pass-through income allocated to the Company is based on the Company's ownership percentage as of February 28/29, 2021 and 2020, which was 21.83% and 18.86% respectively. Income tax attributable to the remaining noncontrolling interest of 78.17% and 81.14% represents a permanent difference related to "consolidation of noncontrolling interests" in the reconciliation table below of federal statutory rate to effective tax rate.

The Company records adjustments related to prior years' taxes during the period when they are identified, generally when the tax returns are filed. The effect of these adjustments on the current and prior periods (during which the differences originated) is evaluated based upon quantitative and qualitative factors and are considered in relation to the interim condensed consolidated financial statements taken as a whole for the respective periods. These adjustments resulted in an increase of $464,863 to the provision for income taxes during the three months and nine months ended February 28, 2021, and an increase of $1,340,359 to the provision for income taxes during the three months and nine months ended February 29, 2020. These adjustments are listed as "True-up of prior year tax" in the reconciliation table below of federal statutory rate to effective tax rate, and are primarily related to pass through items from investment partnerships and allocations of state and city income subject to taxation. These adjustments to prior year income taxes represent 1.98% and 7.35% of income before taxes for the years ended May 31, 2020 and 2019.

NOTE 6 - Income Taxes (cont.)

The provision for income taxes is comprised of the following:

	Three Months Ended February 28/29,		Nine Months Ended February 28/29,	
	2021	2020	2021	2020
	(Unaudited)		(Unaudited)	
Current				
Federal	$ 2,272,977	$ 1,206,525	$ 3,076,152	$ 1,952,664
State and City	1,744,547	1,261,178	2,475,342	1,955,736
Total Current	4,017,524	2,467,703	5,551,494	3,908,400
Deferred				
Federal	8,801,314	(1,263,752)	12,009,380	(1,267,433)
State and City	(19,442)	-	(669,305)	626,479
Total Deferred	8,781,872	(1,263,752)	11,340,075	(640,954)
Total Provision for Income Taxes	$ 12,799,396	$ 1,203,951	$ 16,891,569	$ 3,267,446

Deferred tax assets and liabilities are determined using the enacted tax rates applicable to the period the temporary differences are expected to be recovered. Accordingly, the current period income tax provision is affected by the enactment of 2020 tax rates. The net deferred income taxes on the balance sheets reflect temporary differences between the carrying amounts of the assets and liabilities for financial reporting purposes and income tax purposes, tax effected at a various rates depending on whether the temporary differences are subject to federal taxes, state and city taxes, or both.

The tax effects of temporary differences which give rise to the deferred tax liability consist of the following as of February 28, 2021 and May 31, 2020:

	February 28, 2021	May 31, 2020
	(Unaudited)	
Deferred Tax (Asset) Liability		
Investments in limited partnerships	$ 4,437	$ 1,324,677
Investment in unconsolidated limited liability companies	132,660	132,660
Deferral of gain from like-kind exchange	3,381,578	3,390,962
Unrealized gain from investments	14,522,217	1,852,518
Total Net Deferred Tax Liability	$ 18,040,892	$ 6,700,817

NOTE 6 - Income Taxes (cont.)

A reconciliation of the federal statutory rate to the effective tax rate is as follows for the three months and nine months ended February 28/29, 2021 and 2020:

	Three Months Ended February 28/29,				Nine Months Ended February 28/29,			
	2021		2020		2021		2020	
	(Unaudited)		(Unaudited)		(Unaudited)		(Unaudited)	
Income (loss) before taxes	$ 89,153,749	100.00%	$ (2,037,572)	100.00%	$ 107,207,023	100.00%	$ (4,478,264)	100.00%
Computed expected tax expense	$ 18,722,287	21.00%	$ (427,890)	21.00%	$ 22,513,475	21.00%	$ (940,435)	21.00%
State and City taxes, net of federal benefit	1,015,543	1.14%	410,415	-20.14%	1,592,871	1.49%	935,874	-20.90%
(Decrease) increase in allocation of income to State and City	(7,414)	-0.01%	-	0.00%	(7,414)	-0.01%	505,320	-11.28%
True-up of prior year tax	464,863	0.52%	1,340,359	-65.78%	464,863	0.43%	1,340,359	-29.93%
Permanent differences	1,265,816	1.42%	248,374	-12.19%	1,015,999	0.95%	809,110	-18.07%
Other	22	0.00%	(35,976)	1.77%	82	0.00%	(33,208)	0.74%
Income taxes before consolidation of noncontrolling interests	21,461,117	24.07%	1,535,282	-75.34%	25,579,876	23.86%	2,617,020	-58.44%
Permanent differences related to consolidation of non controlling interests	(8,661,721)	-9.72%	(331,331)	16.26%	(8,688,307)	-8.10%	650,426	-14.52%
Total provision for income taxes	$ 12,799,396	14.35%	$ 1,203,951	-59.08%	$ 16,891,569	15.76%	$ 3,267,446	-72.96%

NOTE 7 – Mortgage Payable

On November 8, 2019, the Company acquired a building to be used in certain business operations for $1,050,000 located in North Carolina. The building was purchased subject to an $800,000 mortgage with a 3.9% interest rate with a maturity date of November 6, 2024. The mortgage is also collateralized by an assignment of all rents received from the building. The building is rented to a related party, subject to a lease that calls for $11,450 per month in rent through November 2024.

The following table presents contractual payments of the Company's obligation under this mortgage as of February 28, 2021:

For the Year Ending May 31,	Total
	(Unaudited)
Remainder of fiscal year	$ 7,045
2022	28,876
2023	30,023
2024	31,215
2025	668,626
Total	765,785

NOTE 8 - Net Income Per Common Share and Per Common Share Equivalent

Basic and diluted earnings per common share is calculated by dividing net income allocated to common stock by the weighted average common shares outstanding during the period. The weighted average number of shares of common stock used in the calculation of diluted earnings per share is adjusted for the dilutive effects of potential common shares including the assumed exercise of vested stock options based on the treasury stock method. Assumed exercise or conversion of potential common shares is only when the weighted average market price for the period exceeds the exercise price and the conversion price, and that the entity records earnings from continuing operations, as the inclusion of such adjustments would otherwise be anti-dilutive to earnings per share from continuing operations.

Potential common shares consist of unexercised stock options of 56,000 the nine months ended February 28/29, 2021 and 2020.

As of February 28/29, 2021 and 2020 there were 56,000 and 32,000 vested options, respectively, with an exercise price below the weighted average market price of the Company's common stock during the period.

NOTE 8 - Net Income Per Common Share and Per Common Share Equivalent (cont.)

The reconciliation of the weighted average number of common shares used in the calculation of basic and diluted earnings per common share follows for the three months and nine months ended February 28/29:

	Three Months Ended February 28,		Nine Months Ended February 29,	
	2021	2020	2021	2020
	(Unaudited)		(Unaudited)	
Weighted Average Common Shares Outstanding	44,032,781	44,032,781	44,022,744	44,015,741
Effect of Dilutive Securities, common share equivalents:				
Exercise of stock options	22,369	-	15,603	-
Dilutive Potential Common Share Equivalents	44,055,150	44,032,781	44,038,347	44,015,741

NOTE 9 - Stockholders' Equity

Redeemable Preferred Stock

The number of authorized Series R preferred shares is 5,000 with a par value of $.001 per share. These shares are each convertible to 1,000 shares of the Company's common stock at the option of either the Company or the holder. There were no shares of preferred stock outstanding as of February 28, 2021 and May 31, 2020.

Common Stock

On October 14, 2020, the Company repurchased 20,000 shares of its common stock from Steven Bregman, the Company’s director, President and Chief Financial Officer. These shares were repurchased pursuant to a Repurchase Agreement authorizing the Company to repurchase up to 360,000 shares of its common stock. The purchase price was $4.88 per share and as of February 28, 2021 the purchase has not yet been paid.

NOTE 9 - Stockholders' Equity (cont.)

Stock Options

A summary of option activity as of February 28, 2021, and changes during the nine months then ended, is as follows:

Stock Options (Unaudited)	Number of Shares	Weighted Average Exercise Price Per Share	Weighted Average Remaining Contractual Term	Aggregate Intrinsic Value
Outstanding at June 1, 2020	56,000	$ 6.95	3.36	$ -
Granted	8,000	$ 6.04	6.61	$ 67,680
Exercised	-	$ -	-	$ -
Forfeited	(8,000)	$ 6.67	-	$ -
Outstanding at February 28, 2021	56,000	$ 6.86	3.61	$ 428,000
Vested and Exercisable at February 28, 2021	56,000	$ 6.86	3.61	$ 428,000

All stock options were vested as of February 28, 2021 and May 31, 2020.

The aggregate intrinsic value of options outstanding and options exercisable at February 28, 2021 and May 31, 2020 is calculated as the difference between the exercise price of the underlying options and the market price of FRMO's common stock for the shares that had exercise prices that were lower than the $14.50 and $4.80 closing price of FRMO's common stock on February 28, 2021 and May 31, 2020, respectively.

As of February 28, 2021, there was no unrecognized compensation cost related to unvested options.